

in urban areas they are engaged in small shops, low-scale businesses or intermediation activities. Larger share of the self-employed and casual labour households indicates the extent of hardships millions of households must have undergone due to the suspension of economic activities amid the COVID-19 outbreak. The closure of businesses results in lost wages for workers in many cases, especially in the informal economy where there is no paid leave. The results of many surveys reveal that workers in the informal sector experienced decline in their incomes or loss of income altogether. This in turn has pushed the masses into deeper poverty.

Check Your Progress 4

- 1) List out the major challenges being faced by the informal sector and particularly the informal service sector in India.

.....

.....

.....

.....

.....

- 2) Do you agree that demonetisation of currency of high denominations in November 2016 which was followed by introduction of GST in July 2017 have further worsened the situation of informal sector in India?

.....

.....

.....

.....

.....

17.6 POLICY IMPLICATIONS

Unit 16 highlighted the fact that reforms in India at the sectoral level have evolved in an ad-hoc way which is probably one of the most important reasons for lopsided growth in services. There has been no coherent overall policy for services in line with the industrial policy and agricultural policy. Consequently, the depth and pace of reforms lack uniformity across sectors. In that unit, role and significance of some services sub-sectors was highlighted. As the size of informal service sector is quite large and provides the livelihood to those needed it most, i.e., vulnerable groups (unskilled, semi-skilled, illiterate persons, women, etc.) of the society, under this section, the role of government at various levels is highlighted so that informal sector can also grow with high productivity and those employed in this sector can enjoy the benefits of social security, high rates wages/remuneration and security of jobs.

17.6.1 Role and Responsibility of the Governments

Since decent work deficits are often traceable to good governance deficits, the government has a primary role to play in improving the quality of work

opportunities. Governments should adopt a dynamic approach to place decent employment at the centre of economic and social development policies. It must promote well-functioning labour markets and labour market institutions, including labour market information systems and credit institutions. To increase job quantity and quality, emphasis should be placed on investing in people, especially the most vulnerable – in their education, skills training, lifelong learning, health and safety – and encouraging their entrepreneurial initiative. Poverty reduction strategies, in particular, should specifically address the problems in the informal economy. The creation of decent jobs should be a measure of success for these strategies.

Governments should have a lead responsibility to extend the coverage of social security to groups in the informal economy which are currently excluded. Micro insurance and other community-based schemes are important but should be developed in ways that are consistent with the extension of national social security schemes. The government has launched several policies and programmes for the development of the small and informal sector markets, but the perks of such initiatives do not seem to be reaching the actual targets. When enquired, it seems that they are unaware of these policies and programmes. For example, while the Central Government has passed the Street Vendors Act, 2014, which aims to protect the livelihood of street vendors, the same has not been implemented at the municipal level in many districts of the country. Granting legitimacy to street vendors is one of the strongest tools for formalisation, and while the provisions exist in law, the same need to be strictly implemented and enforced at the states and municipal levels.

Thus, making the administrative procedures simpler and less costly, introducing special and lower tax rates for small firms, providing them proper access to credit and financing for their better management, taking care of their social security contributions and replacing inspections and fines with training to improve awareness and knowledge of the entrepreneurs so that they are not harassed by the public officials are some of the measures which can help in promoting formalisation among the micro, small and medium firms.

Policies should also aim at developing greater understanding of the relationship between the informal economy and the feminisation of work and identify and implement strategies to ensure that women have equal opportunities to enter and enjoy decent work.

17.6.2 Access to Credit

The informal business owners cannot use their assets as collateral when requesting for formal credit. Thus, obtaining adequate financing is difficult and costly for informal firms, making it hard to run and expand their business. Thus, policies providing them access to finance and credit acts as incentives to formalise. For instance, Colombia promoted young entrepreneurs and provided them easy access to credit. “Colombia goes formal” helped firms who wished to formalise, through credit lines and grants.

All these measures if implemented by the governments at various levels with utmost sincerity and transparency will improve the image of informal sectors within a reasonable period of time. Particularly, if the state initiates efforts as early as possible to provide social insurance coverage to the poor among the

unorganised segment, informal workers, this process will constitute a huge gain for the realisation of the rights of workers.

17.6.3 Tax Reforms

The tax laws and regulations that come along with formalisation are something that the small business owners take into account while making the decision to formalise. Not only the rates, but the complexity of procedures, multiplicity of taxes and the lack of information and support also disincentivises the entrepreneurs from formalising their business.

In order to promote formalisation, the steps that could be taken in the field of taxation include special tax regimes for MSMEs, convenient payment mechanisms, proper information and assistance and measures to check tax evasion. Special tax regimes for MSMEs include lower tax rates, certain exemptions, and integration of different taxes into a single payment. For instance, in Costa Rica, small companies faced preferential tax rates and were exempted from a corporate tax. Only the MSMEs registered with the Ministry of Economy could take benefit of this exemption, thus reinforcing formalisation.

17.6.4 Social Security Contributions

Informal businesses often fail to comply with their obligation related to the social security coverage of the workers in the firm. The costs related to declaring and paying to different social security administrators acts as obstacles to formalisation. Another disincentive to formalisation is the lack of continuity in social security payments, caused by seasonal or intermittent employment in micro and small enterprises. Limited knowledge among employers and employees about the real benefits of social security constitutes another obstacle.

Given these difficulties, the benefits from complying with social security payment schedules should be such that the stakeholders consider them to be valuable. The services that these schemes provide should be of good quality, in areas such as health, maternity and unemployment. Schemes like accidental insurance coverage at work act as incentives to labour formalisation. Social security schemes should be designed with the following characteristics to favour formalisation: (a) progressive social security contributions, (a) subsidies for social security contributions on low-income wages, (c) reduction of the administration costs of social security schemes.

17.6.5 Inspection and Compliance

The limited control of the tax and labour authorities over the informal firms acts as an obstacle to their formalisation. Regulation concerns not only labour law, but also health and safety, taxation, accounting rules, technical standards, consumer rights, bureaucratic procedures, and more. There is need for better regulatory environment. Complying with the law must become easier and law enforcement should be more effective. It is important that the small firm owners are not harassed by the public authorities.

Measures that involve capacity building are more effective than punitive sanctions for lack of compliance. For example, in Chile and Peru, inspectorates provide training for micro and small enterprises (MSEs) to comply with the law,

particularly on safety and health issues, instead of imposing a fine on them for defaulting. In order, to be able to impart better knowledge and information about the rules and regulations, it is necessary to train the officials to interact with the employers and at the same time, it is necessary to organise training programmes and information campaigns for employers and employees of micro and small enterprises.

17.6.6 Awareness and Promotional Campaigns

Very often, micro and small entrepreneurs lack awareness of not just rules and regulations but also of various policies and schemes being run by the authorities to support registered enterprises. Industry and trade Chambers such as FICCI, CII and ASSOCHAM, in collaboration with or through other relevant organisations could assist economic units operating in the informal economy in a number of important ways, including access to information which they would otherwise find difficult to obtain. They could extend business support and basic services for productivity improvement, entrepreneurship development, personnel management, accounting, and the like. They could help develop a lobbying agenda specially geared to the needs of micro and small enterprises.

Trade unions can sensitise workers in the informal economy to the importance of having collective representation through education and outreach programmes. They can also make efforts to include workers in the informal economy in collective agreements. With women accounting for a majority in the informal economy, trade unions should create or adapt internal structures to promote the participation and representation of women and also to accommodate their specific needs. Trade unions can provide special services to workers in the informal economy, including information on their legal rights, educational and advocacy projects, legal aid, provision of medical insurance, credit and loan schemes and the establishment of cooperatives.

17.7 LET US SUM UP

The Service sector in India has been the fastest growing sector in the last decade. Within the service sector, we find that the fastest growing services in the 1990s have been trade, communications, financial services, business services and community services like health and education. The literature on growth in service sector primarily argues that when an economy grows, both demand side and supply side factors operate that lead to higher growth in the service sector as compared to the other sectors and also lead to a larger share of service sector in total employment.

However, the unfortunate part of growth of the service sector over time has led to informalisation of its growth process thereby creating a dualism in the sector wherein one component is growing very fast with high productivity while other component, quite large in size, has become laggard growing in size but not in terms of growth in productivity and profitability. As a result, those employed in the laggard informal service sector remain vulnerable in terms of low level of income and wages, insecurity of jobs, lack of social security and other benefits associated with the job if it had been in the formal service sector. The dynamic analysis presented in this unit highlights the factors responsible for such a growth of the sector and policy initiatives needed at comprehensive scale to improve the

image and status of informal sector. Many of the issues highlighted above if addressed can help in further growth of the services sector. This can make the services sector which is already the dominant growth contributor to become a high growth propeller, along with foreign exchange earner and employment provider for India.

17.8 KEY WORDS

Covid-19	: Coronavirus disease 2019 is a mild to severe respiratory illness that is caused by a Coronavirus.
Demonetisation	: The act of stripping a currency unit of its status as legal tender.
Goods and Services Tax (GST)	: An indirect tax (or consumption tax) used in India on the supply of goods and services. It is a comprehensive, multi-stage, destination-based tax that is levied on every value addition made along the supply chain.
Import-substituting Strategy	: A trade strategy or policy that advocates replacing foreign imports with domestic production.
Informal Sector	: Informal sector refers to all economic activities by workers and economic units that are – in law or in practice – not covered or insufficiently covered by formal arrangements.

17.9 REFERENCES

In addition to the readings listed under Unit-16, some additional readings are listed below:

- 1) Federation of Indian Chambers of Commerce and Industry and Konrad-Adenauer- Stiftung (2017). '*Informal Economy in India: Setting the framework for formalization*', published by FICCI, Tansen Marg, New Delhi.
- 2) Kundu, A., & Sharma, A. N. (Eds). (2001). *Informal sector in India: Perspectives and policies*. New Delhi: Institute for Human Development and Institute of Applied Manpower Research.
- 3) Ministry of Finance (2018). "Economic Survey of India 2017-18" Government of India, New Delhi.
- 4) Ministry of Labor and Employment (2013-14). "Report on Employment in Informal Sector and Conditions of Informal Employment (2013-14), Volume IV", Government of India, New Delhi.
- 5) NSO (2019). 2017-18-unit level data, Periodic Labour Force Survey, NSSO Ministry of Statistics and Program Implementation. Government of India. New Delhi.

- 6) NSSO (2013). 2010-11-unit level data, 67th round, Unincorporated Non-agricultural (excluding Construction) enterprise survey in India, Ministry of Statistics and Program Implementation. Government of India. New Delhi.
- 7) NSSO (2014). 2011-12-unit level data, 68th round, Employment Unemployment survey, NSSO Ministry of Statistics and Programme Implementation. Government of India. New Delhi.
- 8) National Statistical office (2015). Report of the Sub Committee on Unorganized Manufacturing & Services Sectors for Compilation of National Accounts Statistics with Base Year 2011-12.
- 9) Rangarajan C., Padma I. K. and Seema (2011). “Where Is the Missing Labour Force?”, Economic and Political Weekly, Vol. 46, No. 39.
- 10) Report of the Working Group on Business Regulatory Framework 2011, “Towards Optimal Business Regulatory Governance in India”, Steering Committee on Industry, Planning Commission, Government of India.

17.10 ANSWERS OR HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

- 1) See Section 17.2 and answer.
- 2) See Section 17.2 and answer.
- 3) See Section 17.2 and answer.

Check Your Progress 2

- 1) See Section 17.3 and answer.
- 2) See Section 17.3 and answer.
- 3) See Section 17.3 and answer.

Check Your Progress 3

- 1) See Section 17.4 and answer.
- 2) See Section 17.4 and answer.

Check Your Progress 4

- 1) See Section 17.5 and answer.
- 2) See Sub-section 17.5.4 and 17.5.5 and answer.

APPENDIX 17.1

Why Informal India cannot be 'Atmanirbhar' India?

Atmanirbharta, or self-reliance, has been a holy grail for the Indian economy. In its present avatar, the idea hovers around increasing competitiveness and growth of the manufacturing sector which will in turn is expected to further expand the service sector. Competitiveness arises from productivity differentials, which, in turn, are a function of firm size. Larger firms are more productive with higher value added per capita, and higher levels of sales and output per employee. Formal status is another empirically established characteristic of productive firms across countries. World Bank's micro and informal enterprise surveys show that for India the wedge between value added per employee in a registered and unregistered firm is 35 per cent, that between a small registered firm and a large firm is 68 per cent, and that between a large registered firm and an unregistered firm is 212 per cent. This differential is due to large, formal firms' access to external finance, and use of more capital per labour. These firms with economies of scale are often run by better educated managers, and employ specialised staff for specific functions, resulting in better internal processes, and customer outreach, allowing these firms to generate sustainable productivity differentials to achieve competitiveness.

There are 19.67 million micro, small and medium enterprises (MSMEs) employing 36.04 million people. The share of micro enterprises, among MSMEs is almost 99 per cent. The antimonopoly regulations and stringent labour laws practised over years have ensured that the average Indian manufacturing firm remained small in size. The employment-generating and cost-cutting characteristics of these informal firms have made us believe that informality is forced by excessive cost of regulation. It is important to start acknowledging that these firms may be unproductive, run by lowly qualified managers, unable to function efficiently and, therefore, out of formal structure. The notion that economic growth will generate returns for these firms, bringing them into formality has not worked so far. Nor is there much empirical support for the hypothesis of registration alone increasing their productivity.

Shift to a formal status would typically mean additional costs of paying taxes, adhering to safety norms, and providing additional employment benefits to workers. All these are genuine costs. Any estimation of loss of revenue to the exchequer due to tax evasion, loss of lives and project assets due to non-compliance with safety norms, and loss of productivity due to non-provision of social security to employees, is sure to bypass the loss of profitability to informal enterprises.

However, thrust of the self-reliance movement undoubtedly has to be on designing regulatory systems conducive to creating large firms with a clear competitive edge. Ample macroeconomic evidence suggests that limited access to capital constrains productivity growth in developing countries. Ownership of banks by the government has resulted in hampered credit allocation as there is a conflict of interest between social objectives and the running of an efficient financial system. Implicit government guarantee weakens their incentives to pursue operational efficiency. They are prone to evergreen non-performing loans and keep insolvent borrowers afloat. Slow in adopting new technologies to improve

the efficiency of financial intermediation, public banks are more susceptible to distress than private banks. Their investment in government securities reduces availability of loans to the private sector. Designing regulations to prune these hydra-headed institutions is vital in pursuance of self-reliance.

‘Atmarnirbhar’ development requires organisations that can benefit from scale economies, entrepreneurs who take risks and grow those organisations, independent professionals who have the skills that can support technological progress and productivity growth, and banks that understand the hazards of providing credit and that diversify their risks while financing growth. It requires regulating and unleashing the power of markets and holding back the temptation to use the state to direct scarce resources towards centrally-handed-down goals.

The informal sector effectively constitutes 90 per cent of the workforce and about 50 per cent of the national product. As per Government of India statistics, the unorganised sector contributes almost 50 per cent of the total GDP. The Economic Survey of 2018-19, released on 4 July, 2019, said “almost 93 per cent” of the total workforce is “informal”. Around 86 per cent of those working in the informal sector are not covered under labour legislation and they have absolutely no protection in terms of employment as they do not have an appointment letter, contract, guarantee for wages, health facilities, insurance, etc. They are at the mercy of the employer.

If the Centre realises the importance of the informal sector and its contribution to the economic growth of the country, it will need to define the sector effectively, provide labour legislation to protect employment, wages and treat them on par with the formal sector. As long as these measures are not put in place, it is difficult for informal India to become Atmanirbhar India.